



Social Security Act 1971

1971 CHAPTER 73

An Act to amend the law relating to benefit under the Ministry of Social Security Act 1966 and to certain benefits under the National Insurance Act 1965 and the National Insurance (Industrial Injuries) Act 1965; to increase the penalties for failure to pay contributions under the said Acts of 1965; to abolish local advisory committees under the said Act of 1966; and for purposes connected with those matters.

[5th August 1971]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Provisions relating to supplementary benefit

1.—(1) Schedule 2 to the Ministry of Social Security Act 1966 (which contains provisions for determining the amount of any benefit under that Act to which a person is entitled) shall have effect subject to the amendments provided for in this section.

(2) Subject to subsection (5) below, in Part II (calculation of requirements), after paragraph 10 there shall be inserted the following:—

Amendment of provisions for determining amount of supplementary benefit.
1966 c. 20.

“Persons disqualified for unemployment benefit

10A—(1) If a person's right to a supplementary allowance is subject to the condition of section 11 of this Act, then, in relation to any period during which—

- (a) he is disqualified for receiving unemployment benefit by virtue of section 22(2) of the National Insurance Act 1965 (disqualification by reference to conduct resulting in unemployment or conducing to its continuance); or

- (b) he is not so disqualified, but the circumstances are as mentioned in sub-paragraph (2) of this paragraph,

this Part of this Schedule shall have effect, as regards the determination of the amount of any supplementary allowance to which he is entitled, as if the amount specified in that entry in paragraph 9 or paragraph 10 of this Schedule which relates to his requirements (disregarding for this purpose the requirements of any other person which are to be or may be included in his by virtue only of paragraph 3(2) of this Schedule) were reduced by a sum equal to 40 per cent. of the amount so specified or, if the amount so specified exceeds the amount specified in paragraph 9(b) of this Schedule, 40 per cent. of the last-mentioned amount (disregarding any amount by which that sum exceeds a multiple of 5p).

(2) The circumstances referred to in sub-paragraph (1)(b) of this paragraph are that the person concerned—

- (a) has not made a claim for unemployment benefit ;
or
- (b) has made such a claim, but the claim has not yet been determined ; or
- (c) has had such a claim disallowed otherwise than by reason of his being disqualified as mentioned in sub-paragraph (1)(a) of this paragraph,

but in the opinion of the Commission he would be so disqualified if he were to make such a claim, or if his claim had been determined, or if it had not been disallowed for a different reason.

1965 c. 51. (3) In this paragraph 'unemployment benefit' means unemployment benefit under the National Insurance Act 1965."

(3) In Part III (calculation of resources), paragraph 23 (earnings) shall be amended as follows—

- (a) for the word "The" (where first occurring) there shall be substituted the words "(1) Subject to sub-paragraph (2) of this paragraph, the"; and
- (b) at the end there shall be added the following:—

"(2) Where a person who by reason of a stoppage of work due to a trade dispute at his place of employment has been without employment for any period during the stoppage becomes engaged in

remunerative full-time work again in consequence of the ending of the stoppage—

- (a) any advance of earnings made or offered to him during so much of that engagement as falls within the period of fifteen days from the beginning thereof shall be taken into account in calculating or estimating his net weekly earnings ; and
- (b) for the purpose of any claim for benefit made by him during so much of that engagement as falls within that period, sub-paragraph (1) of this paragraph shall have effect as regards his weekly earnings (but not those of any other person) subject to the modification that the reduction provided for in paragraph (b) of that sub-paragraph shall be applied only to the amount, if any, by which his net weekly earnings exceed his net weekly earnings from his full-time work (instead of to the full amount of his net weekly earnings)."

(4) In Part III (calculation of resources), after paragraph 25 there shall be inserted the following :—

" Specific resources falling to be treated as income

25A.—(1) In calculating a person's resources for purposes of this Schedule there shall be treated as income (and, subject to paragraph 25 of this Schedule, taken into account as such)—

- (a) any amount which, while he is employed in such circumstances as are mentioned in sub-paragraph (2) of this paragraph, becomes available to him (or would become available to him on application being duly made) by way of repayment of income tax deducted from his emoluments (whether in the same or any previous office or employment) in pursuance of section 204 of the Income and Corporation Taxes 1970 c. 10. Act 1970 (pay as you earn), except so far as the repayment in question is attributable to any period of absence from work through sickness or other similar cause or to any period of unemployment ; and
- (b) any payment which he receives or is entitled to obtain (whether from a trade union or any other

source) by reason of being without employment for any period during a stoppage of work due to a trade dispute at his place of employment.

(2) The circumstances referred to in sub-paragraph (1)(a) of this paragraph are that the person concerned is employed in an office or employment and that his emoluments therefrom are assessable to income tax under Schedule E."

1966 c. 20.

(5) Subsection (2) above shall not have effect in relation to claims for benefit under the Ministry of Social Security Act 1966 made before the coming into force of that subsection.

Supplementary benefit paid after return to full-time employment following a trade dispute to be recoverable in certain cases.

2.—(1) Where a person—

- (a) has by reason of a stoppage of work due to a trade dispute at his place of employment been without employment for any period during the stoppage ; and
- (b) is a person whose requirements for that period (except so far as they included the requirement to provide for any other person) fell (or would have fallen) to be disregarded for purposes of benefit by virtue of section 10(1) of the Ministry of Social Security Act 1966 (persons affected by trade disputes),

then, if after the coming into force of this section he becomes engaged in remunerative full-time work again in consequence of the ending of the stoppage, subsections (2) and (3) below shall apply in his case.

(2) Section 8(1) of the said Act of 1966 (exclusion of persons in full-time employment from entitlement to benefit) shall not apply to the person in question until the expiration of the period of fifteen days from the beginning of the engagement mentioned in subsection (1) above ; but any sum paid to him on an award of benefit made to him during that period by virtue of this subsection shall be recoverable from him in accordance with the provisions of Part I of Schedule 1 to this Act.

(3) Nothing in any regulations made under section 8(2) of the said Act of 1966 (general power to provide for postponing the application of the said section 8(1) in the case of persons becoming engaged in remunerative full-time work) shall apply to the person in question as regards the engagement mentioned in subsection (1) above.

(4) Where on a claim for benefit made by a person engaged in remunerative full-time work the Commission determine that the claimant is by virtue of subsection (2) above entitled to benefit and award him benefit accordingly, they shall determine in accordance with subsection (5) below the claimant's protected

earnings for the purposes of Part I of Schedule 1 to this Act and shall give to him and to the Secretary of State a notice in writing—

- (a) stating that they have made an award of benefit to the claimant as a person entitled thereto by virtue of the said subsection (2) and that accordingly any sum paid to him on that award will be recoverable from him as there provided ; and
- (b) specifying the amount of benefit awarded to the claimant on the claim and his protected earnings for the purposes of the said Part I as determined by them.

(5) For the purposes of Part I of Schedule 1 to this Act the protected earnings of a person engaged in remunerative full-time work (that is to say the amount below which the earnings actually paid to him for any week in respect of that work must not be reduced by any deduction made under the provisions of that Part) shall be a sum of money equal to the amount arrived at by taking the amount of his weekly requirements, determined in accordance with the provisions of paragraphs 1 and 3 and Part II of Schedule 2 to the Ministry of Social Security 1966 c. 20. Act 1966, adding £3.00, and subtracting from the result the aggregate weekly amount of any allowances under the Family Allowances Act 1965 which would fall to be taken into account in calculating his resources for purposes of the said Act of 1966. 1965 c. 53.

(6) Section 17(1) of the Ministry of Social Security Act 1966 (under which the Secretary of State may by regulations make provision for carrying Part II of that Act into effect) shall have effect as if the reference to Part II of that Act included a reference to this section and Part I of Schedule 1 to this Act ; and without prejudice to the generality of the said section 17(1) as amended by this subsection, the purposes for which provision may be made by regulations thereunder shall in particular include the purposes specified in Part II of Schedule 1 to this Act.

(7) Expressions used in Part II of Schedule 1 to this Act and in Part I thereof have the same meaning in Part II as in Part I.

(8) Any person who fails to comply with any provision requiring him to give notice of any matter to the Secretary of State, being a provision contained in regulations made under the said section 17(1) in pursuance of paragraph 2 of Part II of Schedule 1 to this Act, shall be liable on summary conviction to a fine not exceeding £20.

(9) If it appears to the Secretary of State that, in cases where two or more persons falling within subsection (1)(a) and (b) above become engaged in remunerative full-time work again in consequence of the ending of the same stoppage of work,

1966 c. 20.

anomalies in the operation of this section would result from the arrangements for dealing with claims for benefit under the Ministry of Social Security Act 1966, the Secretary of State may by regulations make such provision as he thinks appropriate for securing that this section will operate uniformly in relation to both or all of those persons:

Provided that no provision shall be made by regulations under this subsection which would result in any benefit paid to a person being recoverable from him by virtue of subsection (2) above where that benefit is paid to him in circumstances in which it would not be so recoverable apart from any such regulations.

(10) Paragraph 4(1)(b) of Schedule 2 to the Ministry of Social Security Act 1966 shall not apply to payment made by virtue of subsection (2) above.

Further
provision for
preventing
duplication
of
supple-
mentary and
other benefits.

3. In section 16 of the Ministry of Social Security Act 1966 (prevention of duplication of payments), after subsection (1) there shall be inserted the following subsection:—

“(1A) Where for any period—

- (a) a person (in this subsection referred to as A) is entitled to, or to an increase in the amount of, any relevant social security benefit in respect of another person (in this subsection referred to as B); and
- (b) B's requirements have been taken into account in determining the amount of any benefit payable under this Act for that period to B or some other person (other than A); and
- (c) the amount of the benefit so payable under this Act has been determined on the basis that A has not made payments for the maintenance of B at a rate equal to or exceeding the amount of, or of the increase in, the relevant social security benefit,

the amount of, or of the increase in, the relevant social security benefit may, at the discretion of the authority administering it, be abated by the amount by which the amounts paid under this Act exceed what the Commission determine they would have been had A, at the time the amount of the benefit under this Act was determined, been making payments for the maintenance of B at a rate equal to the amount of the relevant social security benefit or, as the case may be, of the increase in the relevant social security benefit.

In this subsection ‘relevant social security benefit’ means any such benefit, allowance or pension as is mentioned in paragraphs (a) to (d) of subsection (1) above.”

4.—(1) Every appointment of an inspector made after the passing of this Act under section 90 of the Insurance Act (which relates to the appointment and powers of inspectors) shall be an appointment for the purposes of the 1966 Act as well as for those of the Insurance Act; and every appointment under that section which is in force at the passing of this Act shall have effect as an appointment for the purposes of both those Acts.

Extension of functions and powers of inspectors under National Insurance Act 1965.

(2) Accordingly—

- (a) any reference in the said section 90 to the Insurance Act (other than any such reference occurring in the phrase “an inspector appointed under this Act”) shall be construed as including a reference to the 1966 Act; and
- (b) in subsection (3) of that section the reference to benefit shall be construed as including a reference to benefit within the meaning of the 1966 Act.

(3) In this section “the Insurance Act” and “the 1966 Act” mean respectively the National Insurance Act 1965 and the Ministry of Social Security Act 1966, and any reference to section 90 of the Insurance Act is a reference to it as amended by section 1(2) of the Public Expenditure and Receipts Act 1968.

1965 c. 51.
1966 c. 20.
1968 c. 14.

5.—(1) The Secretary of State may, with the consent of the Treasury, make reciprocal arrangements with the appropriate Northern Irish authority for co-ordinating the operation of the two schemes for the payment of supplementary benefit in respect of persons whose resources are insufficient to meet their requirements established respectively by the Ministry of Social Security Act 1966 and any legislation for similar purposes passed by the Parliament of Northern Ireland.

Reciprocal arrangements with Northern Ireland as regards supplementary benefit.

(2) Any such arrangements may include provision for the modification or adaptation of the respective schemes in relation to or in connection with persons affected by the arrangements, and the Secretary of State may by regulations provide for such modification or adaptation of the provisions of the Ministry of Social Security Act 1966 as may appear to him to be requisite for giving effect to the arrangements or in consequence of the arrangements, and for any necessary financial adjustments.

(3) The power under subsection (2) above to provide by regulations for the modification or adaptation of the provisions of the Ministry of Social Security Act 1966 and for necessary financial adjustments shall be exercisable also in relation to the provisions of any enactment contained in or passed after this Act which is directed to be construed as one with that Act, except in so far as the contrary intention appears in that enactment, and without prejudice to the generality of that direction.

(4) In this section "the appropriate Northern Irish authority" means such authority as may be specified for the purposes of this section in any legislation passed by the Parliament of Northern Ireland.

Reciprocal agreements with countries outside United Kingdom in connection with supplementary benefit.
1965 c. 51.

6. The provisions of section 105 of the National Insurance Act 1965 (which provides that, for the purpose of giving effect to any agreement with the government of any country outside the United Kingdom providing for reciprocity in matters such as are specified in subsection (1) of that section, Her Majesty may by Order in Council make provision for modifying or adapting that Act in its application to cases affected by the agreement) and of section 106 (other than subsections (1) and (5)) and section 109 of that Act (which make general provision as to such Orders in Council) shall have effect as if—

1966 c. 20.

(a) the matters specified as aforesaid included matters relating to payments for purposes similar or comparable to the purposes of the Ministry of Social Security Act 1966; and

(b) any reference in those provisions to the National Insurance Act 1965 included a reference to the said Act of 1966.

Miscellaneous and general

Amendment of qualification for unemployment benefit, sickness benefit and injury benefit.

7.—(1) A person shall not in any event be entitled under the National Insurance Act 1965 either to unemployment benefit or to sickness benefit for the first three days of any period of interruption of employment commencing on or after the date on which this subsection comes into force, and accordingly in section 19(6) of that Act the words from "unless" to the end shall cease to have effect.

1965 c. 52.

(2) An insured person shall not in any event be entitled to injury benefit under section 11 of the National Insurance (Industrial Injuries) Act 1965 in respect of any day during the injury benefit period where that day is one of the first three days of a period of interruption of employment commencing on or after the date on which this subsection comes into force, and accordingly in section 5(2)(b) of the National Insurance Act 1966 the words from "unless" to the end shall cease to have effect.

1966 c. 6.

Increase of maximum fines for failure to pay contributions.

8. The maximum fine to which an employer or insured person is liable on summary conviction of an offence under subsection (2) of section 8 of the National Insurance Act 1965 or subsection (4) of section 3 of the National Insurance (Industrial Injuries) Act 1965 in respect of a failure to pay any contribution which he is liable under the Act in question to pay shall, for

offences committed after the coming into force of this section, be fifty pounds; and accordingly, as regards offences so committed, each of those subsections shall have effect with the substitution of the words "fifty pounds" for the words "ten pounds".

9. Section 27 of the Ministry of Social Security Act 1966 (under which the Secretary of State may by regulations provide for the reference to local committees for consideration and advice of questions bearing upon the administration of that Act, the National Insurance Act 1965, the National Insurance (Industrial Injuries) Act 1965 and related Acts) shall cease to have effect, and all local advisory committees established in pursuance of regulations made under that section shall cease to exist accordingly.

Abolition of local advisory committees.
1966 c. 20.
1965 c. 51.
1965 c. 52.

10.—(1) Notwithstanding anything in the Government of Northern Ireland Act 1920, the Parliament of Northern Ireland shall have power, in connection with any such legislation passed by that Parliament as is mentioned in section 5(1) of this Act, to make laws for purposes similar to the purposes of section 5 or 6 of this Act.

Ireland.
1920 c. 67.

(2) In section 10(3) of the National Insurance (Old persons' and widows' pensions and attendance allowance) Act 1970 (which relates to the application of that Act to Northern Ireland) after the words "this Act" (where they last occur) there shall be inserted the words " , except paragraphs 1 and 2 of Schedule 2 to this Act and subsection (1) of the preceding section so far as it relates to those paragraphs,".

1970 c. 51.

11.—(1) This Act may be cited as the Social Security Act 1971, and—

Citation, construction, commencement, repeal and extent.

- (a) the National Insurance Acts 1965 to 1970 and this Act may be cited together as the National Insurance Acts 1965 to 1971; and
- (b) the National Insurance (Industrial Injuries) Acts 1965 to 1969 and this Act may be cited together as the National Insurance (Industrial Injuries) Acts 1965 to 1971; and
- (c) the Ministry of Social Security Act 1966 and this Act may be cited together as the Supplementary Benefit Acts 1966 and 1971.

(2) This Act, so far as it relates to the subject-matter of the Ministry of Social Security Act 1966, shall be construed as one with that Act.

(3) Except where the context otherwise requires, any reference in this Act to any enactment shall be construed as a reference to that enactment as amended or applied by or under any other enactment, including this Act.

(4) The provisions of this Act shall come into force as follows—

- (a) this section (except subsection (6) so far as it relates to Part II of Schedule 2), sections 3 to 6, sections 9 and 10 and Part I of Schedule 2, on the passing of this Act ;
- (b) section 1(2) and (5) (and section 1(1) so far as it relates to section 1(2)), at the end of the period of three months beginning with the day on which this Act is passed ;
- (c) the other provisions (including section 1(1) except so far as it relates to section 1(2), and subsection (6) below so far as it relates to Part II of Schedule (2), on such day as the Secretary of State may by order appoint ;

and different days may be so appointed for different purposes of the provisions falling within paragraph (c) above or for the same purposes in relation to different cases or classes of case.

1965 c. 51.

(5) Section 107(4) of the National Insurance Act 1965 (which provides for orders under that Act to be subject to annulment in pursuance of a resolution of either House of Parliament) shall not apply to any order under subsection (4) above, but a statutory instrument containing any such order shall be laid before Parliament after being made.

(6) The enactments mentioned in Part I or II of Schedule 2 to this Act are hereby repealed to the extent respectively specified in column 3 of that Part.

(7) Without prejudice to the operation in relation to Northern Ireland of—

- (a) any such provision of the National Insurance Act 1965 as is referred to in section 118(2) thereof ;
- (b) sections 83(5) and 87 of the National Insurance (Industrial Injuries) Act 1965 ; and
- (c) any provision of the Ministry of Social Security Act 1966 referred to in section 40(4) thereof,

this Act, except section 10 thereof, shall not extend to Northern Ireland.

SCHEDULES

SCHEDULE 1

Section 2.

PROVISIONS AS TO RECOVERY OF SUMS PAID BY WAY OF
SUPPLEMENTARY BENEFIT ON AWARDS MADE BY VIRTUE OF
SECTION 2(2) OF THIS ACT

PART I

RECOVERY OF BENEFIT PAID

General

1.—(1) In this Part of this Schedule—

- “available earnings” in relation to an employee on any pay-day, means the earnings which remain payable to him on that pay-day after deduction by his employer of all amounts lawfully deductible by the employer otherwise than by virtue of a deduction notice ;
- “the claimant”, in relation to a notification of award, means the person stated therein to have had an award of benefit made to him ;
- “employment” means employment in remunerative full-time work, and related expressions shall be construed accordingly ;
- “notification of award” means (subject to paragraph 8 below) a notice under section 2(4) of this Act ;
- “pay-day”, in relation to earnings paid to an employee, means an occasion on which they are paid ;
- “prescribed” means prescribed by regulations ;
- “protected earnings”, in the case of any person, means his protected earnings for the purposes of this Part of this Schedule, as determined by the Commission in accordance with section 2(5) of this Act ;
- “regulations” means regulations made by the Secretary of State under section 17(1) of the Ministry of Social Security 1966 c. 20. Act 1966, as amended by section 2 of this Act ;
- “repaid by the claimant” means paid by the claimant directly to the Secretary of State by way of repayment of benefit paid to the claimant on any award made to him during the period of fifteen days from the beginning of the relevant engagement (including any additional benefit paid to him thereon where the amount of the award is increased on an appeal or as a result of a review).

(2) For the purposes of this Part of this Schedule in its application to any sum which is recoverable from a person by virtue of subsection (2) of section 2 of this Act as having been paid to him by virtue of that subsection during the period of fifteen days from the beginning of an engagement falling within subsection (1) of that section, “the relevant engagement” means that engagement.

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(3) The provisions of this Part of this Schedule relating to the recovery of benefit by deduction from earnings are framed in terms applicable to employees whose earnings are paid weekly ; but the Secretary of State may by regulations provide that, in the case of employees whose earnings are paid otherwise, those provisions shall have effect with such adaptations as may be specified in the regulations.

Service and contents of deduction notices

2.—(1) Where the Secretary of State receives a notification of award, then, unless the amount of benefit specified therein as having been awarded to the claimant has already been repaid by the claimant, the Secretary of State shall serve on the person, if any, by whom the claimant is for the time being employed a notice under this paragraph (in this Schedule referred to as a “deduction notice”) relating to the claimant.

(2) Every deduction notice shall contain the following particulars, namely—

- (a) particulars enabling the employer to identify the claimant ;
- (b) the amount by reference to which deductions are to be made by the employer from the claimant's earnings by virtue of the notice ;
- (c) the claimant's protected earnings ; and
- (d) such other particulars as may be prescribed.

(3) Subject to the following provisions of this Part of this Schedule—

- (a) the amount specified in a deduction notice as the amount by reference to which deductions are to be made by the employer shall be equal to the amount of benefit specified in the relevant notification of award as having been awarded to the claimant or, if any part of the last-mentioned amount has been repaid by the claimant before the date of the notice, shall be equal to so much of that amount as has not been so repaid before that date ; and
- (b) the sum so specified as the claimant's protected earnings shall, subject to regulations, be the same as that specified in the relevant notification of award.

(4) If, after the Secretary of State has received a notification of award and served a deduction notice relating to the claimant, the Secretary of State receives a further notification of award relating to the same person, then, unless the aggregate of the amounts of benefit respectively specified in all notifications of award relating to the claimant which have been received by the Secretary of State since the beginning of the relevant engagement has already been repaid by the claimant, the Secretary of State shall serve a fresh deduction notice on the person, if any, by whom the claimant is for the time being employed.

(5) Where a fresh deduction notice is served at any time by virtue of sub-paragraph (4) above, then—

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(a) if at that time there is in force in relation to the claimant a previous deduction notice served after the beginning of the relevant engagement, the amount specified in the fresh notice as the amount by reference to which deductions are to be made by the employer shall be equal to the sum of the following amounts, namely—

(i) the amount specified in the previous notice as the amount by reference to which deductions are to be so made ; and

(ii) the amount of benefit which, in the further notification of award in consequence of which the fresh notice is being served, is specified as having been awarded to the claimant,

reduced by the aggregate of any amounts repaid by the claimant on or after the date of the previous notice and before the date of the fresh notice ;

(b) in any other case, the amount so specified in the fresh notice shall be the amount which would fall to be so specified therein in accordance with paragraph 5 below if the fresh notice were being served by virtue of that paragraph.

(6) Service of a fresh deduction notice by virtue of sub-paragraph (4) above shall have the effect of cancelling any earlier deduction notice relating to the claimant which is in force when the fresh notice is served, but shall not affect the validity of anything done by virtue of the earlier notice while it was in force.

Period for which deduction notice has effect

3.—(1) A deduction notice shall come into force when it is served on the employer of the claimant to whom it relates and shall (unless previously cancelled by virtue of paragraph 2(6) above or sub-paragraph (2) below) cease to have effect as soon as any of the following conditions is fulfilled, that is to say—

(a) if the claimant dies or ceases to be in the employment of the person on whom the notice was served ;

(b) if the aggregate of—

(i) all amounts, if any, repaid by the claimant on or after the date of the notice in question ; and

(ii) all amounts, if any, deducted from the claimant's earnings by virtue of the notice in question or, if the condition specified in sub-paragraph (4) below is fulfilled in the case of the notice in question, all amounts, if any, deducted from the claimant's earnings by virtue of that notice or any relevant earlier deduction notice within the meaning of that sub-paragraph,

reaches the amount specified in the notice in question as the amount by reference to which deductions are to be made by the employer ;

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(c) if the period of fourteen weeks beginning with the date of the notice expires.

(2) The Secretary of State may at any time give a direction in writing cancelling a deduction notice, and shall cause a copy of any direction of his under this sub-paragraph to be served on the employer concerned and on the claimant; and a direction given under this sub-paragraph shall take effect when a copy of it is served on the employer concerned.

(3) Where a deduction notice is cancelled under sub-paragraph (2) above, no further deduction notice relating to the claimant shall be served in connection with any benefit awarded to him by virtue of subsection (2) of section 2 of this Act during the period of fifteen days from the beginning of the relevant engagement.

(4) If, in the case of a deduction notice which is in force (in this sub-paragraph referred to as "the current notice") the following condition is fulfilled, namely that at the time when that notice was served on the employer there was in force in relation to the claimant an earlier deduction notice served on the same employer after the beginning of the relevant engagement, each of the following shall for the purposes of sub-paragraph (1)(b)(ii) above constitute a relevant earlier deduction notice, that is to say—

(i) that earlier deduction notice; and

(ii) any still earlier deduction notice relating to the claimant which was served on that employer after the beginning of the relevant engagement, if (subject to sub-paragraph (5) below) the claimant was continuously in the employment of that employer from the time when the still earlier notice in question was served to the time when the current notice was served.

(5) For the purposes of sub-paragraph (4) above the continuity of a period of employment under the same employer shall be treated as having been broken on any occasion on which a deduction notice relating to the employee which was served on the employer after the beginning of the relevant engagement ceased to have effect by reason of the expiration of the period of fourteen weeks mentioned in sub-paragraph (1)(c) above.

Effect of deduction notice

4.—(1) So long (but only so long) as a deduction notice is in force in respect of an employee, the following provisions of this paragraph shall apply as regards any pay-day on which his available earnings exceed his protected earnings (as specified in the notice), so however that, as regards any pay-day falling within the period of seven days beginning with the day on which the notice comes into force, sub-paragraphs (2) and (3)(a) below shall have effect as if for the words "shall deduct" there were substituted the words "may deduct"

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In this paragraph "the notified amount", in relation to a deduction notice, means the amount specified in the notice in accordance with paragraph 2(2)(b) above.

(2) If on the pay-day in question the employee's available earnings exceed his protected earnings (as so specified) by an amount equal to or less than one-tenth of the notified amount, the employer shall deduct from the employee's available earnings the amount of the excess.

(3) If on the pay-day in question the employee's available earnings exceed his protected earnings (as so specified) by an amount greater than one-tenth of the notified amount, the employer—

(a) shall deduct from the employee's available earnings an amount equal to one-tenth of the notified amount ; and

(b) may with the consent in writing of the employee deduct from the employee's available earnings a larger amount,

so however that the total amount deducted from the employee's available earnings by virtue of this sub-paragraph on any one pay-day shall not be greater than the amount by which the employee's available earnings exceed his protected earnings (as so specified).

(4) Notwithstanding anything in sub-paragraph (2) or (3) above—

(a) the employer shall not make a deduction on a pay-day by virtue of the deduction notice if the employee satisfies him that up to that pay-day he has not obtained payment of the benefit to which the deduction notice relates ; and

(b) the employer shall not on any pay-day deduct from the employee's earnings by virtue of the deduction notice an amount greater than the amount by which immediately before that pay-day the aggregate of all such amounts as in relation to that notice are mentioned in paragraph 3(1)(b)(i) and (ii) above falls short of the notified amount.

(5) Where on any pay-day the employer makes no deduction from the employee's earnings by reason only that the employee has satisfied him as mentioned in sub-paragraph (4)(a) above, the employer shall forthwith give notice of that fact to the Secretary of State at the prescribed place and in the prescribed manner, and if he fails to give notice as aforesaid when required by this sub-paragraph to do so shall be liable on summary conviction to a fine not exceeding £20.

(6) Where the employer is required by sub-paragraph (2) or sub-paragraph (3)(a) above to make a deduction on a pay-day and the amount of the deduction which he would be so required to make apart from this sub-paragraph includes a fraction of a new penny, the amount which he is so required to deduct on that pay-day shall be reduced by that fraction of a new penny.

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Power to serve further deduction notice in certain circumstances

5.—(1) Where a deduction notice has ceased to have effect by reason of the claimant ceasing to be in the employment of the person on whom the notice was served or by reason of the expiration of the period of fourteen weeks mentioned in paragraph 3(1)(c) above, the Secretary of State may, if he thinks fit, serve a fresh deduction notice on the person, if any, by whom the claimant is for the time being employed; and, notwithstanding anything in the foregoing provisions of this Schedule, in any fresh deduction notice served by virtue of this sub-paragraph—

- (a) the amount specified as the amount by reference to which deductions are to be made by the employer shall be equal to the amount mentioned in sub-paragraph (2) below; and
- (b) the amount specified as the claimant's protected earnings shall, subject to regulations, be the same as the amount specified in that behalf in the last deduction notice relating to him which was in force before the date of the fresh notice.

(2) The amount referred to in sub-paragraph (1)(a) above is the aggregate of the amounts of benefit respectively specified in all notifications of award relating to the claimant received by the Secretary of State after the beginning of the relevant engagement and before the date of the fresh deduction notice in question, reduced by so much, if any, of the aggregate of those amounts as has been repaid by the claimant before the date of the fresh notice, and further reduced, in respect of every previous deduction notice served after the beginning of the relevant engagement which has been in force in relation to the claimant, by whichever is the greater of the following amounts, namely—

- (i) the aggregate of the amounts actually deducted by the relevant employer from the claimant's earnings by virtue of the previous notice in question; and
- (ii) the aggregate of the amounts which that employer was required by paragraph 4(2) or 4(3)(a) above to deduct from those earnings by virtue of that previous notice.

Liability of employers

6.—(1) A person who by virtue of a deduction notice makes one or more deductions from the earnings of a person in his employment shall in accordance with regulations pay the amount or amounts deducted to the Secretary of State.

(2) No criminal proceedings shall lie against any person on account of a contravention of sub-paragraph (2) or sub-paragraph (3)(a) of paragraph 4 above; but if, on any pay-day on which the said sub-paragraph (2) or the said sub-paragraph (3)(a) requires a person to make a deduction from the earnings of a person in his

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employment, the employer makes no deduction from the employee's earnings or deducts from them an amount smaller than the amount which he is thereby required to deduct, then—

- (a) so much of the last-mentioned amount as is not deducted by the employer from the employee's earnings on that pay-day shall be recoverable from the employer by the Secretary of State ; and
- (b) any sum recovered from the employer by the Secretary of State by virtue of paragraph (a) of this sub-paragraph in consequence of his omission to deduct the required amount from the employee's earnings on that pay-day shall for the purposes of this Schedule be deemed to have been repaid by the employee.

(3) For the purposes of any proceedings brought by the Secretary of State by virtue of sub-paragraph (2)(a) above against a person in connection with a deduction notice served on him in respect of a person who at the material time was in that person's employment, it shall be presumed, except in so far as the contrary is proved, that on every pay-day which occurred while that notice was in force the employee's available earnings exceeded his protected earnings (as specified in the notice) by an amount greater than one-tenth of the notified amount (within the meaning of paragraph 4 above).

Right of Secretary of State to recover benefit directly from claimant

7.—(1) Where the Secretary of State has received a notification of award and it is at any time not practicable for him to effect by means of a deduction notice recovery of the relevant amount, or so much of it as, not having previously been repaid by the claimant or deducted from the claimant's earnings by virtue of this Part of this Schedule, remains to be recovered from the claimant, the relevant amount or, as the case may be, so much of it as remains to be recovered from the claimant shall by virtue of this paragraph be recoverable from the claimant by the Secretary of State.

In this sub-paragraph "the relevant amount", in relation to a notification of award, means the amount of benefit specified therein as having been awarded to the claimant.

(2) For the purpose of any proceedings brought by virtue of this paragraph a certificate purporting to be signed by or on behalf of the Secretary of State and stating that it is not practicable for him to effect by means of a deduction notice recovery of the amount of benefit specified in a notification of award as having been awarded to the claimant, or so much of that amount as remains to be recovered from the claimant, shall be conclusive evidence of the matters dealt with in the certificate (other than any matter affecting the determination of the actual amount, if any, which the Secretary of State is entitled to recover from the claimant by virtue of this paragraph).

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Increase of amount of award on appeal or review

1966 c. 20.

8. If, after the Secretary of State has received a notification of award and served a deduction notice relating to the claimant, the amount of the award which was the subject of the notification is increased on an appeal under section 18 of the Ministry of Social Security Act 1966 or as a result of a review by the Commission of any determination affecting that amount, the foregoing provisions of this Schedule shall have effect as if on the date on which the increase is awarded the Secretary of State had received a further notification of award specifying the amount of the increase as the amount of benefit awarded to the claimant and, subject to regulations, specifying as the claimant's protected earnings the same amount as was specified in that behalf in the last notification of award relating to him which was in fact received by the Secretary of State ; and references in those provisions to a notification of award shall be construed accordingly.

PART II

PURPOSES FOR WHICH PROVISION MAY BE MADE BY REGULATIONS

1. Any purpose for which provision is by section 2 of this Act or Part I of this Schedule authorised or required to be made by regulations.

2. For requiring, in such cases as may be prescribed, notice to be given at the prescribed place and in the prescribed manner to the Secretary of State where, after a deduction notice relating to any person has been duly served, that person ceases to be in the employment of the person on whom that notice was served or, having so ceased, subsequently enters the employment of the same or any other person.

3. For requiring or enabling the Commission, in such circumstances as may be prescribed, to review any determination made by them of a person's protected earnings for the purposes of Part I of this Schedule.

4. For enabling the Secretary of State to vary any deduction notice for the time being in force so far as may be necessary to bring the sum specified therein as the protected earnings for the purposes of Part I of this Schedule of the person to whom the notice relates into conformity with any determination of that person's protected earnings for those purposes made by the Commission (whether on a review or otherwise) after the date of the notice.

5. For modifying the operation of Part I of this Schedule in cases where, by virtue of subsection (1) of section 2 of this Act, subsection (2) of that section applies to the same person as regards two or more separate periods of fifteen days.

SCHEDULE 2

Section 11.

REPEALS

PART I

ENACTMENTS REPEALED ON THE PASSING OF THIS ACT

Chapter	Short Title	Extent of Repeal
1965 c. 51.	The National Insurance Act 1965.	In section 77(3), the words from "from a local" to "Act or" and the word "other". Section 27.
1966 c. 20.	The Ministry of Social Security Act 1966.	

PART II

OTHER ENACTMENTS REPEALED

Chapter	Short Title	Extent of Repeal
1965 c. 51.	The National Insurance Act 1965.	In section 19(6), the words from "unless" to the end. In section 5(2)(b), the words from "unless" to the end.
1966 c. 6.	The National Insurance Act 1966.	